

T A N D Y C O R P O R A T I O N



A U N I Q U E T E C H N O L O G Y C O M P A N Y



John V. Roach

Chief Executive Officer

and Chairman of the Board

Tandy Corporation

Tandy Corporation is a complex company operating on a simple basic principle of providing value to our customers. Our uniqueness is derived from the almost total control we exercise over our products throughout their life cycles from initial design to after-the-sale service and support. We are a pre-eminent force in the design, manufacture and distribution of consumer electronics and computer products. Our presence in these industries has worldwide significance and strongly supports the concept of American competitiveness in a global economy.

Within these pages, we provide insight into the operations and philosophies behind Tandy Corporation, its divisions and subsidiaries. It is important to note that there is a strong interaction among nearly all our operations. It is this vertical integration capability that allows us our almost total control—which means that we leave nothing to chance. We are shaping our destiny.

CONTENTS

Corporate History	4
A History of Growth	
Landmarks in Technology	
The Consumer Electronics Retailer	8
Radio Shack: The Technology Store	
Profitable Impressions	
Merchandising: The Right Product	
Product Design and Manufacture	
Service and Support	
Controlled Distribution	
Tandy Name Brand Retail Group	
The Computer Company	22
Computer Retailing at Its Best	
GRiD Systems	
Tandy Electronics Marketing	
Achieving Design Excellence	
The Marketing Company	30
Memtek Products	
Lika Corporation	
O'Sullivan Industries	
The Complete Company: Operational Support	36
R&D: A High Priority	
Tandy Information Services	
A&A International	
A Promising Future	42

A HISTORY OF GROWTH

Tandy Corporation is a multifaceted, multibillion dollar company with a long-standing tradition of leadership in technology. Founded as a family leather business in the early 1900's, Tandy Corporation first traded on the New York Stock Exchange in 1960.

In 1963, the company purchased Radio Shack, a nine-store Boston-based consumer electronics retailer. Under the leadership of Charles Tandy, the rapid expansion of Radio Shack served as a cornerstone for the overall growth of Tandy Corporation.

Today, the corporation is known as an innovator in the development, manufacture and retailing of a wide range of consumer electronics including audio, video, telephony, personal computer and magnetic media technologies. With such a wide spectrum of interests, we pride ourselves in our ability to control and coordinate the direction of our many business activities through a vertically integrated concept. We design and manufacture many of the products sold in our retail outlets, from sophisticated personal computer systems to simple electronic parts. We even have our own over-the-road transportation company.

We believe our far-reaching capabilities make us unique among Fortune 500 corporations. We are proud of our heritage as an American company, and we firmly believe in and strongly support the spirit of American competitiveness in a global economy.

The goals and strategies were well expressed by the late James L. West, president of Tandy Corporation from 1964 to 1974: "We have geared our strategy to the long pull . . . we are intent upon building the people, the organization, the assets and the policies that will continue to give Tandy Corporation steady, sound growth."

Radio Shack's
1963
headquarters
in Boston,
Massachusetts.

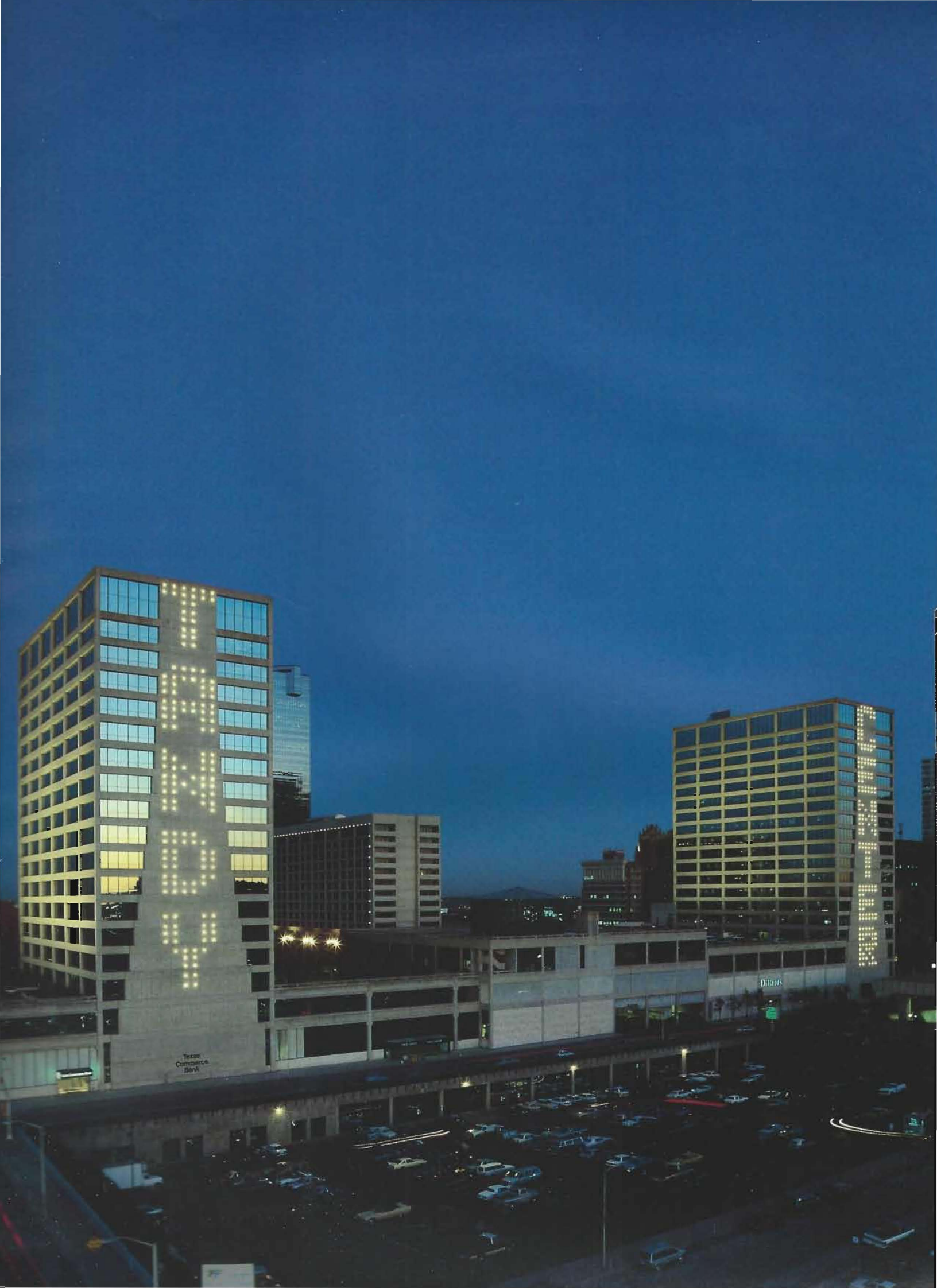


*"We have dreamed,
the organization and
the resources to accept
the challenge. The
opportunities are
everywhere."*

—Charles Tandy



**Charles Tandy,
the man behind
the vision.**



LANDMARKS IN TECHNOLOGY

We take pride in our position as a preeminent force in the consumer electronics industry. Over the years, we have offered thousands upon thousands of state-of-the-art products—all high quality and all with the features and functions to meet the demands of the buying public. Virtually all of these products are custom manufactured to our own exacting standards, either by our own manufacturing operations or vendors.

We constantly monitor buying trends to ensure that our product offerings reflect the latest developments in consumer electronics technology. Our strategy has enabled us to enter a specific product market at the right time at the right price.

We are an innovative retailer backed by our own manufacturing operations and our own research and design group. That makes us unique and provides us with great leverage in what products we decide to offer.

The results of our strategy are evidenced by our successes in CB's, audio components, stereo speakers, televisions, camcorders, VCR's, cellular telephones, telephones for the home and office and dozens of other consumer electronics products—even radio-controlled cars and educational toys.

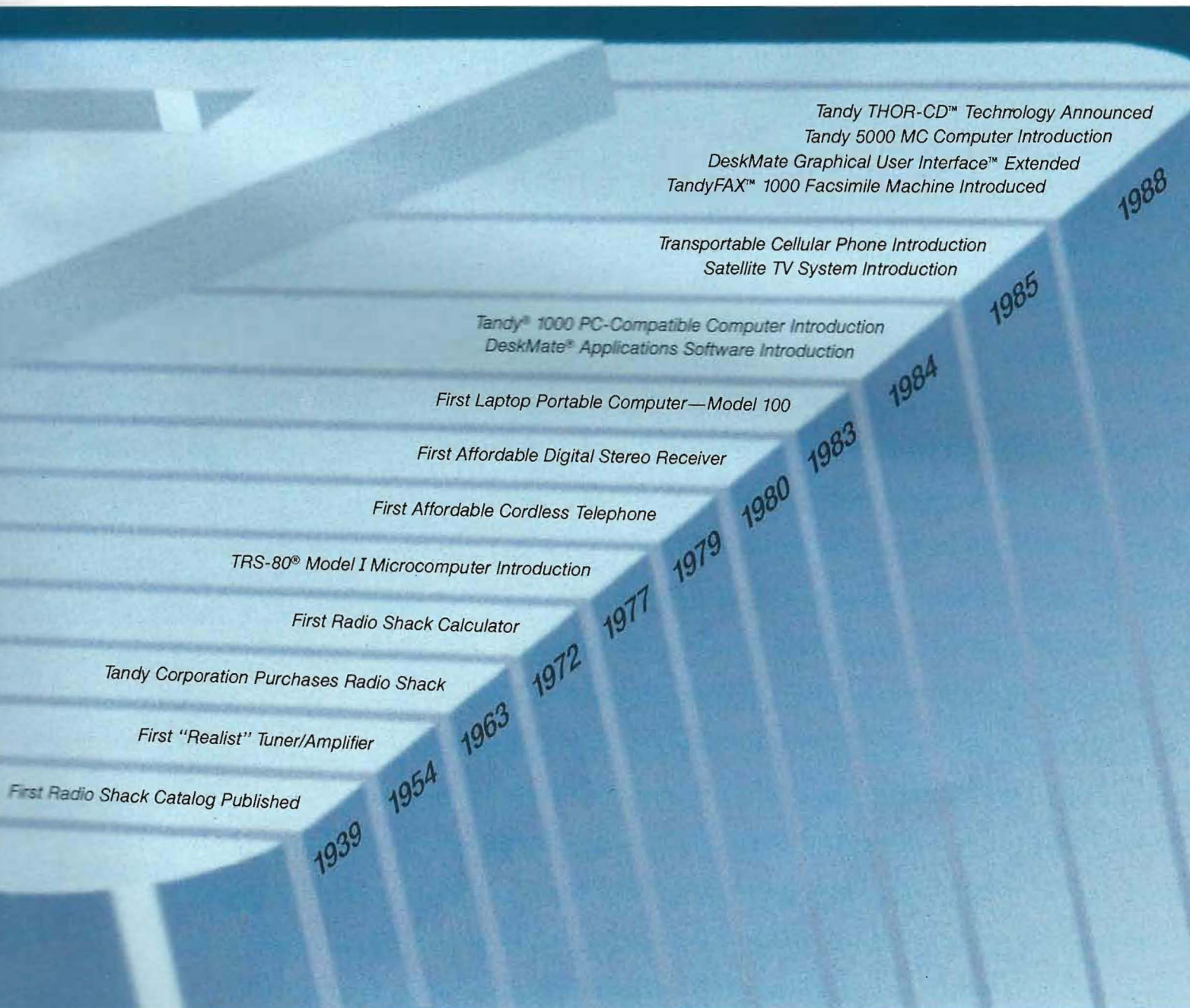
Personal computers for the home, home office, education and business sectors represent another successful market for us. Our timely introduction of new models with increased features and performance capabilities have made us a leader in this rapidly growing arena.

Our heritage is based in technology, and we are continuing this proud tradition into our future. Our landmarks are just the beginning of our leadership in the consumer electronics industry.

*Landmarks in our
history reflect our
innovative approach to
providing quality
consumer electronics
products.*



We have a history of
providing customers
with the latest
innovations in
consumer
electronics.



RADIO SHACK®: THE TECHNOLOGY STORE™

Radio Shack has earned the leadership position in consumer electronics retailing because it offers convenience, service and the right product at the right price—keys to continuing customer satisfaction.

The rewards of this philosophy are clear:

- One in every three households in the United States buys Radio Shack products every year.
- Approximately 70% of our customers return to purchase from Radio Shack within a 12 month period.
- The average dollar amount of a sales ticket in a typical Radio Shack store has increased an average of 9.6% since 1985.

With nearly 5,000 company-owned stores and Computer Centers and over 2,000 dealer/franchise operations nationwide, Radio Shack is America's Technology Store. With over 3,000 products, Radio Shack offers something to everyone interested in consumer electronics.

Radio Shack constantly strives to provide the services its customers need...and want. Store personnel receive ongoing training programs designed to further their product knowledge and improve their sales techniques. And Radio Shack offers its customers versatile purchase options such as the Tandy Leasing program and the Radio Shack ValuePlus® credit plan.

Radio Shack's retail efforts are supported by the largest totally in-house advertising agency in the United States. Radio Shack National Advertising makes literally billions of "impressions" every year with:

- Monthly sales flyers mailed to over 217 million households annually;
- Print advertisements in over 1,042 newspapers and over 125 magazines;
- High-impact television and radio commercials;
- Specially targeted catalogs that showcase the Radio Shack product line: a full-line Consumer Products Catalog, a Tandy Computer Catalog, an Express Order Software Catalog, and an Educational Software Catalog.



Radio Shack has the largest totally in-house advertising agency in the U.S., which produces an extensive advertising program for the print, television and radio media.

Radio Shack



PROFITABLE IMPRESSIONS

The customer's impression of our Radio Shack store operations and appearance is one of our primary concerns. We know that an atmosphere of efficiency, quality and professionalism is essential to keeping customers returning to Radio Shack for their technology needs again . . . and again.

We want to assure customers that Radio Shack offers not only the best values available, but also quality products on the cutting edge of technology. To reinforce that message, we instituted a multimillion dollar "Technology Store" remodeling program in 1986 to give Radio Shack stores a "high tech" look featuring a gray and black color scheme, red neon signs and sleek, updated display fixtures. A new "departmentalized" store arrangement also makes it easier for customers to locate the merchandise they want to buy.

Further enhancing Radio Shack customers' perceptions is a new computerized Point-of-Sale (POS) system, which was installed in 5,000 company-owned stores in 1989 following a successful pilot program. Similar to systems used by many retailers, this automated system utilizes Tandy computer equipment to improve overall service efficiency. It also increases selling time and improves the accuracy of store reporting requirements. The POS system plays a key role in helping Radio Shack stores reach their average annual sales goal of \$1 million per store.

The POS system wins praise from Radio Shack customers and sales professionals because it:

- cuts the average time needed to process a sales transaction almost in half;
- makes Tandy Service Plan eligibility, quantity discount and other merchandise information instantly available to the sales professional;
- automatically tallies sales tax and totals;
- prints a detailed sales ticket on a Tandy printer;
- reduces the time spent to compile the store's daily report by as much as 80 percent;
- improves inventory and pricing controls.

Our "Technology Store"

remodeling has

achieved impressive

results, with refurbished

stores realizing consistent

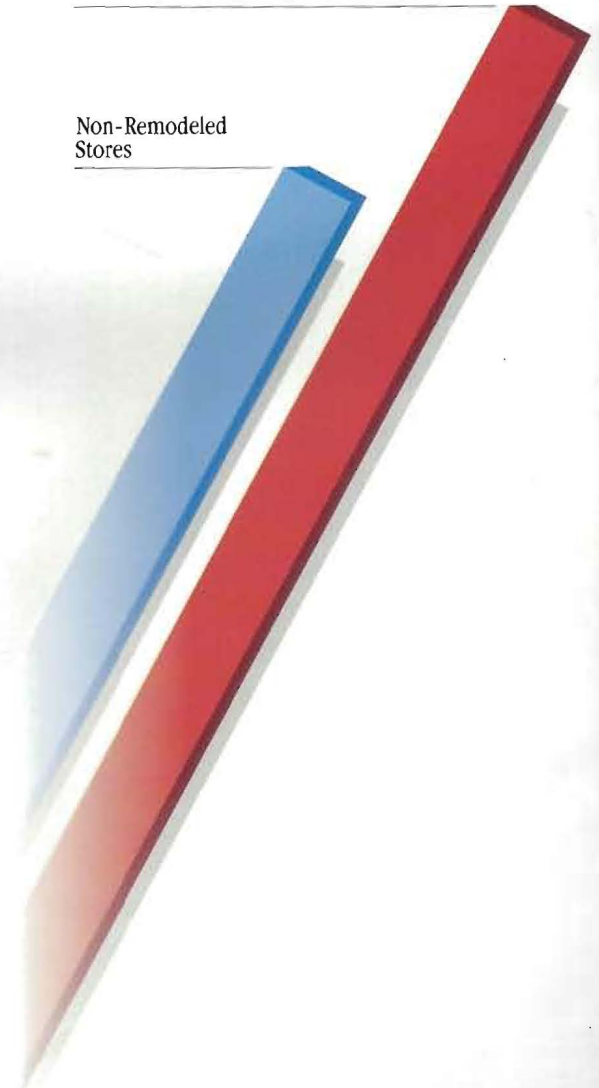
5-6% sales gains over

non-remodeled stores'

sales gains.

Remodeled Stores

Non-Remodeled
Stores





**The Point of Sale
System cuts the time
needed to process a
sales transaction
almost in half.**

To transact a sale, virtually all the sales professional must do is "capture" merchandise information with the barcode reader wand and enter the customer's name and address through a Tandy computer keyboard.

The POS System's benefits are not restricted to Radio Shack stores. All levels of the corporation profit from the sales, inventory and merchandising information gathered by the system and transmitted daily to Tandy headquarters in Fort Worth. More accurate and up-to-date information allows us to respond to the needs of our Radio Shack stores and their customers even more quickly than before.

Clearly, the POS system and our "Technology Store" remodeling efforts give Radio Shack stores an image that reflects our success as America's leading consumer electronics retailer. They also give us something equally important: increased sales.

MERCHANDISING: THE RIGHT PRODUCT

Whether they are looking for a personal computer or a transistor, today's sophisticated consumers expect quality and value in their electronics purchases. Ensuring that Radio Shack products meet those expectations is the responsibility of Radio Shack's Merchandising Department.

Our team of Radio Shack product buyers and engineers is responsible for nearly every phase of a product's life from initial detailed specifications to directing advertising efforts. Our buyers define our products from a user perspective, making every effort to include the features and functions consumers want. At the same time, they negotiate to establish the right price. In a word, their chief concern is value.

Unlike many retailers who simply purchase existing merchandise, Radio Shack invests a significant amount of time and money on design and evaluation engineering. Buyers coordinate product development efforts with consumer and computer engineering groups and with vendors—both domestic and overseas.

A typical Radio Shack product must pass several phases of testing and evaluation:

- We specify in detail the desired features, function and performance of a proposed product;
- Evaluation product samples are analyzed to determine their suitability for becoming a Radio Shack product;
- Working samples of future products are evaluated to verify that their performance meets Radio Shack standards;
- Preproduction samples undergo intensive testing of electrical performance, environmental stability and overall functionality and appearance;
- Samples from the actual production line are tested to confirm that the final product measures up to our exacting criteria.

Throughout these stages, buyers and engineering staff work to ensure that products meet not only government standards such as Federal Communications Commission and Underwriters' Laboratories, but Radio Shack's own exacting standards as well.

Radio Shack products must meet impeccable standards.

We are the only electronics

retailer that writes the

specifications, evaluates

the quality and tests the

reliability of literally

everything we sell.



Our testing standards are among the toughest in the industry. Here, engineers check endurance under impact from dropping and shipping.



Bernard Appel, President of Radio Shack, places utmost importance on the products sold through Radio Shack. In both the U.S. and abroad, he coordinates with buying, design and research and development teams defining specifications for merchandise. In doing so, he averages 2-3 months abroad each year executing our commitment to product excellence.

Radio Shack products undergo rigorous testing including performance under extreme heat and cold, and endurance under impact from dropping and shipping. Our standards are established by our own National Quality Control Department and are among the toughest in the industry. In fact, many of our standards have been adopted industry-wide throughout the world.

After the products finally make it to Radio Shack shelves, our buyers constantly monitor supply levels to make sure that customer demand is met. The buyers also help to coordinate advertising efforts in order to publicize our product lineup and promote special sale events.

Even after products are in customers' hands, the buyers and product engineers interface with the Technical Support and National Quality Control Departments to find solutions to periodic field problems.

Through these efforts, the Radio Shack Merchandising Department ensures that our products offer the quality, value and performance our customers expect. They ensure that products are available through our stores to our customers. And they ensure that our customers are informed about our products which are uniquely Radio Shack.

PRODUCT DESIGN AND MANUFACTURE

Over 50% of the electronics sold in Radio Shack stores are produced in Tandy Electronics Manufacturing plants. These facilities are supported by research and development teams at headquarters in Fort Worth, Texas, and at various locations throughout the world. Tandy Electronics Design is responsible for thousands of consumer electronics products ranging from AC adapters to satellite television reception systems.

These R&D teams work with Radio Shack Merchandising, Tandy Electronics plants, A&A International and outside vendors to:

- optimize features, ease of use, manufacturability, reliability and serviceability;
- conduct testing to verify that product specifications are met;
- establish and refine cost-effective, high-accuracy manufacturing methods;
- troubleshoot field issues with other Tandy technical groups for after-the-sale support.

*We are an exceptionally
cost-effective
manufacturer. For years,
we have successfully
competed against the very
toughest low-cost
manufacturers around
the world.*



Tandy Electronics Manufacturing plants utilize the latest advances in robotics and computerized product tracking and material handling.



Robert M. McClure,
President, Tandy
Electronics, has
piloted Tandy
Electronics
Manufacturing
to a position of
industry leadership.

Tandy Electronics Manufacturing facilities are models of cost-effective, high-quality production, all with extensive testing and quality control sectors. The facilities, which manufacture consumer electronics products for Radio Shack as well as other companies, include:

- Antennacraft—world's largest producer of outdoor television antennas;
- Tandy Electronics Azle—produces AC line spike protectors, VHF/UHF amplifiers;
- TDP Electronics—produces CB/indoor/outdoor antennas and power supplies;
- Tandy Molded Products—produces plastic parts for the electronics industry;
- Tool Engineering Division—the Southwest's largest builder of injection PVC-type molds for computer parts applications;
- Tandy Packaging—produces 26.4 million packages per year for electronic components and batteries;
- Tandy Wire and Cable—includes two plants producing communications, electronics and computer wire and cable products.
- Tandy Cabinets—manufactures store fixtures and interior wall systems;
- Tandy Sign—produces illuminated and non-illuminated signs and awnings;
- Tandy Magnetics—produces more blank audio cassette tapes than any other facility in the western hemisphere;
- Tandy Magnetic Media—produces 25 million VHS T-120 cassette tapes per year;
- Tandy/Rank Home Video—produces video cassettes;
- Tandy Electronics China—produces telephones and cassette tape recorders;
- Tandy Electronics Japan—specializes in analog design engineering;
- Tandy Electronics Taiwan—produces 80 different telephony products;
- Tandy/Mobira Communications South Korea—produces cellular telephones.

By researching, developing, and manufacturing products ourselves, we capitalize on our corporation's unique vertical integration abilities, keeping costs low and enhancing overall profitability.

SERVICE AND SUPPORT

Many retailers refer customers to manufacturer-appointed independent service centers. At Radio Shack, we believe in servicing what we sell. As a result, we have one of the strongest, best-trained service and support networks in the consumer electronics or computer fields.

Our comprehensive service and support network boasts:

- 43 Consumer Products Repair Centers specializing in servicing consumer products and computers;
- 81 Business Product Service Centers dedicated to business users of Tandy computer products with carry-in and on-site service options;
- Specially trained Systems Engineers in Radio Shack Computer Centers to assist in initial computer system setup services, telephone support and on-site trouble-shooting and training;
- A Customer Service telephone support staff at headquarters in Fort Worth which provides technical support to computer customers. This group alone handles over 38,000 phone calls monthly.

All of our service and support personnel receive rigorous training through company-owned training facilities in Fort Worth. In-shop apprenticeships and special field training programs to coincide with the introduction of new products ensure that our service and support staff have timely and accurate information. In addition, Technical Product Specialists in Fort Worth who are experts in specific products assist when the solution to a customer's problem eludes a field technician.

Many of our consumer electronics and computer products can be covered by our Tandy Service Plan, which extends Radio Shack's standard warranty for a small add-on cost at the time of purchase. Customers can bring items requiring service to any Radio Shack store which, in turn, transfers the item to a repair center.

We service what we sell.

Radio Shack customers

can bring items requiring

repair to any Radio

Shack store and expect

prompt, reliable service.



Timely turnaround:
At Tandy Consumer Products Repair Centers, repair schedules focus on repair completion within 48 hours of receipt.



Our skilled support professionals can provide help with system installation, employee training, applications development and trouble-shooting.

For Tandy computer equipment, on-site service is available within a 150-mile radius of any Business Product Service Center. Computer customers often choose to purchase an annual carry-in or on-site service contract. We even provide technical training and parts support for large account customers and schools who prefer to do their own repair work.

We realize time is money to our customers. We want to be sure that repair is completed in as little time as possible. That is why many spare parts are on hand at most repair centers. Moreover, over 85,000 active part numbers are stocked in two National Parts warehouses to ensure an adequate supply of spare parts. On a daily basis, over 4,300 spare parts orders are pulled and shipped from these warehouses to our service centers via air express at no additional cost to the customer.

Radio Shack has created a superior service and support system with strategically located facilities and knowledgeable people. This network contributes to our role as a pre-eminent force in today's competitive consumer electronics and computer industries.

CONTROLLED DISTRIBUTION

Getting the thousands of products that we sell from the manufacturers to our warehouses and then to our thousands of stores is an enormous feat. Add to that the responsibilities of insuring that those products meet stringent quality standards and arrive at the stores on time, and the job takes on incredible proportions.

But to the Radio Shack Distribution System, it's all in a day's work. We boast the enviable record of having over 3,000 stockkeeping units in stock in over 7,000 stores 95% of the time. This is accomplished through our ten Distribution Centers—four in Fort Worth, Texas; and one each in Charleston, South Carolina; Hagerstown, Maryland; Boston, Massachusetts; Columbus, Ohio; and Garden Grove and Woodland, California.

Depending on type of store and allowable product inventory, stores receive merchandise from:

- **Regional Distribution Centers**—In accordance with inventory guidelines, stores may order stock from these centers. This system allows stores to focus on regional purchasing trends.
- **Force Feed Distribution Center**—Most company-owned Radio Shack stores are required to have in stock certain items specified by the Merchandising Department. The Force Feed center automatically replenishes these items, ensuring that stores have appropriate inventory levels on hand.
- **Tandy Systems Distribution Center**—This center distributes Tandy Computer products and system configurations to Radio Shack stores, Computer Centers and dealers.



Automated systems expedite the movement of stock into staging areas for shipment.

Our ten Distribution Centers ship over one million cartons per month—more than 38,000 cartons per day.



Distribution Centers are served by Tandy Transportation, our own trucking firm, which operates 60 tractors and 200 trailers. Most shipments are delivered within five days.

Much of our efficiency is the result of highly automated facilities which utilize Tandy computers, bar-coding technology and laser scanning devices. This system even compiles carton counts and weights automatically.

Before a product is accepted into our Distribution Centers, it must pass rigid inspection conducted by Radio Shack's National Quality Control Department. NQC has personnel in each of the Distribution Centers and at corporate headquarters, where special testing is conducted. These teams of engineers and technicians ensure that every product shipped meets required government and industry standards as well as Radio Shack's own high standards.

More than half of the shipments made from our Distribution Centers are carried on some 60 tractors and 200 trailers operated by Tandy Transportation, our own trucking firm. In most cases, routine shipments arrive at a store within five days.

All facets of our distribution system are vital to the quality of Radio Shack products, to the timeliness of their delivery and to our profitability.

TANDY NAME BRAND RETAIL GROUP

In 1985, Tandy Corporation entered the name brand appliance and electronics retailing market with the acquisition of two electronics chains: Scott®/McDuff® and VideoConcepts®. Operating under The Tandy Name Brand Retail Group, these stores represent a significant growth opportunity for the corporation.

The Name Brand Group operates two classes of stores:

- Full-line, stand-alone McDuff Electronics Appliance Super Centers ranging in size from 8,000 to 20,000 square feet;
- Smaller mall-located "Electronics Stores".

All VideoConcepts and McDuff Electronics stores offer a common broad range of major name brand audio and video products. These products include a full line of portable, console and big screen projection televisions, video recorders and an extensive range of autosound, audio component and rack systems, and personal electronics. Additionally, McDuff Super Centers carry a full line of brand name appliances including refrigerators, freezers, washers, dryers and air conditioners.

Expansion plans include developing major markets with multiple stores in order to maximize the effectiveness of advertising expenditures and to achieve our goal of being convenient in that marketplace. We believe that more stores, conveniently located throughout the marketplace and surrounding secondary markets, are more desirable than a few large stores dependent upon the customers' willingness to travel to them.

In conjunction with this strategy, the Tandy Name Brand Merchandising Department is continually expanding our name brand offerings to include more "big ticket" items such as Tandy personal computers, electronic key-boards, telephones, and other high-technology products. Through our intensive training programs, we ensure that our sales personnel have the knowledge and information required to provide excellent service to our expanding customer base.

Through strategic planning and meaningful expansion goals, the Tandy Name Brand Retail Group is strengthening Tandy Corporation's role as a leading retailer of quality electronic products.

The Tandy Name Brand

Retail Group broadens

our position

in the consumer

electronics industry.



McDuff Electronics, McDuff Superstores and VideoConcepts provide retail space for distribution of many consumer electronics products not sold through the Radio Shack channel.



COMPUTER RETAILING AT ITS BEST

Tandy Corporation entered the personal computer market in 1977 with the TRS-80 microcomputer. Our Radio Shack Computer Centers, stores and dealers have been the cornerstones of our success. Today, Radio Shack is recognized as one of the top retailers and manufacturers of personal computers:

- It is the nation's largest computer retailer with over 7,000 locations including Radio Shack Computer Centers, Plus Computer Centers, traditional Radio Shack stores and dealer/franchisees;
- It is the nation's largest computer specialty chain, with nearly 300 company-owned Radio Shack Computer Centers.

In our Radio Shack Computer Centers, sales efforts are concentrated on the home, home office, small business and education markets, because these are Radio Shack's key areas of sales strength. To better serve this diverse customer mix, Radio Shack Computer Centers are staffed by computer sales teams made up of skilled specialists:

- In-store and out-bound sales personnel with expertise on the Tandy Computer product line, as well as knowledge of any sales promotions or purchase options available;
- Highly trained systems engineers with the capabilities to configure systems and provide solutions for the complex information management needs businesses often face;
- Educational sales specialists, who understand and serve the growing computer requirements of schools, colleges and universities.

Tandy computer products cover a broad spectrum, from "starter" systems to high-speed, high-performance systems and networked configurations, plus a wide range of peripherals, accessories and software applications.

Radio Shack Computer Centers' combination of specialized customer support and high-quality, industry-standard computer equipment have vaulted Tandy Corporation to a position of leadership in this promising industry.

*Our nationwide coverage,
the depth of our product
line, our intensive sales
training and our
nationwide service and
support are unique in
the industry.*



The emerging home office market represents a tremendous opportunity for growth.

Home Office

Tandy Computer Systems
there is no better value.

Radio Shack
Computer Centers

- Hands-On Computer Training
- Installation
- Assembly
- Troubleshooting
- Service

In Business - For Over 40 Years

Workgroups

Enhance your

Tandy 1400 II
Available in 16MB or 32MB
configurations

Sale!
Tandy 1400 II
\$299.99

Here!
\$499.99

Sale!
Tandy 1400 II
\$499.99

Sale!
Tandy 1400 II
\$499.99

VeriPro
Professional
Write
Professional
File
Professional
File



GRiD SYSTEMS

GRiD Systems Corporation, a Tandy subsidiary, recognizes and is meeting the needs of the growing portable computer market. GRiD® designs, manufactures and markets state-of-the-art magnesium-cased portable microcomputers, chiefly for sale to large corporations and federal and state governments.

Established in major markets nationwide, GRiD Systems Centers provide a forum for GRiD's product sales and demonstrations, as well as for applications consulting and customer training for large accounts. They are strongly supported in product demonstrations, training and installation by an experienced systems engineering staff. GRiD's sales force is now equipped to offer turnkey solutions, including desktop computers manufactured by Tandy, under both GRiD and Tandy brand names. GRiD Systems also offers Tandy facsimile machines and Radio Shack cellular telephones.

Founded in 1979 and acquired by Tandy in 1988, GRiD Systems offers a comprehensive range of laptop computers, application software, software development tools, portable peripherals and electronic mail/networking systems for field professionals.

With installed systems in more than one-third of Fortune 500 companies, GRiD has a worldwide direct-sales and support organization that provides customers with consulting, training, support and custom software development services. GRiD also has fully staffed branch offices located around the world to service major accounts.

GRiD Systems
Centers provide a
"high-tech" setting
for sales of quality
GRiD products.

GRiD portable microcomputers have been used on at least 20 space shuttle missions since 1983 to perform sophisticated scientific calculations.



In the private sector, the Fremont, California-based company counts leaders in the pharmaceutical, automotive, insurance and textile industries among its customers. In the public sector, GRiD portables are used in Federal Aviation Administration radar facilities, in military communications, in the U.S. Postal Service and in the Internal Revenue Service.

GRiD introduced several firsts in the industry, including:

- the first battery-powered portable capable of running UNIX®;
- a "remote area network" that allows as many as 58 simultaneous users to share information, whether they are at their desks or on the road;

In fact, many of GRiD's design features are so revolutionary that they have been granted fundamental patents.

With its vast resources and established reputation, GRiD Systems is destined to contribute greatly to the growth and success of Tandy Corporation.



TANDY ELECTRONICS MARKETING

As a leader in designing, manufacturing and selling technology products, it is only natural that providing the products of Tandy technology to other companies serves as an area of expansion for Tandy Corporation. Our research and development advancements in consumer electronics and increased personal computer manufacturing capabilities reinforce our strong position in these vital markets.

Major areas of market expansion include:

- Tandy computers;
- The DeskMate Graphical User Interface;
- Tandy THOR-CD recordable compact disc technology.

*Tandy has established
itself the world
over as a leader
in innovative,
high-quality
technology.*



In the personal computer area, we have expanded our markets by making significant strides in the marketing of Tandy PCs to several large companies. These achievements include:

- Selection by American Airlines—the nation's largest airline—of Tandy 4000 SX microcomputers for use in highly visible locations at U.S. airport ticket counters and at other administrative, maintenance and engineering facilities;
- Agreements to manufacture private-label personal computers for companies such as Digital Equipment Corporation and Matsushita/Panasonic, the world's largest consumer electronics manufacturer. These agreements are of global importance.



In addition to computer products, Tandy also markets high-capacity speakers produced by O'Sullivan Industries to domestic and Oriental manufacturers.

In the computer software area, our DeskMate Graphical User Interface is becoming an industry standard. Developed by our own Computer Software Research and Development group, DeskMate's popularity as an interface is the result of easy-to-use common commands which can be used with a wide variety of software applications. To date, over 100 third-party software developers have licensed the DeskMate core as the user interface for their applications.

Tandy THOR-CD™ is an enormous achievement for our corporation. With a Tandy-developed CD recorder/player, THOR-CD compact discs will be able to be recorded, erased, and rerecorded—and then played back in almost any CD player. This achievement is surpassed only by the enormous long-term potential THOR-CD represents for Tandy Corporation and its impact on the audio industry.

In addition to our own development, production and distribution objectives, we are working with major consumer electronics and technology firms to establish Tandy THOR-CD as a worldwide standard for recordable CD's and provide a broad product base.

By continually expanding the markets for the products of Tandy technology, we ensure extended growth and prosperity for our corporation.

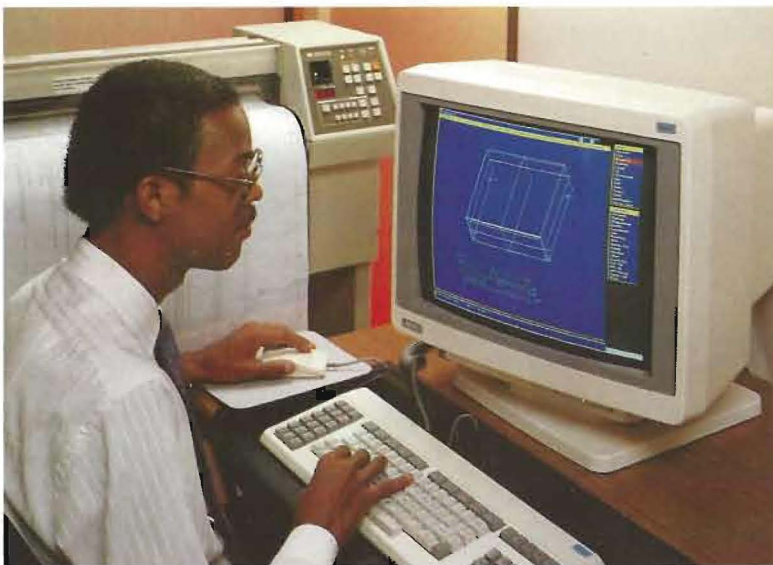
ACHIEVING DESIGN EXCELLENCE

When the first TRS-80 microcomputer was designed in the late 1970's, it began a tradition of excellence. A key function in establishing and maintaining that excellence is performed by Tandy's Computer Research and Development teams.

These teams work closely with merchandising, manufacturing, and others to ensure quality and performance in Tandy computer products. These goals are achieved by:

- including more features—such as advanced sound and speech recording capabilities and high-resolution graphics in the Tandy 1000 line;
- ensuring reliability—our MS-DOS machines boast an impressive Mean-Time Between Failure Rate of over 30,000 hours;
- achieving ease of use for the user—our DeskMate Graphical User Interface with its common command structure is an emerging industry-standard graphics interface for low-end computer products.

Products like the Tandy 5000 MC, the first Micro Channel-compatible system to be delivered into the marketplace, signal our design versatility. The R&D groups also respond to internal needs: they designed the WS 1000 terminals for Radio Shack's point-of-sale system.



Exceptional design standards translate into unsurpassed product reliability and quality.

Over 60% of our computer manufacturing space and manpower is devoted to quality control and testing in all phases of operations.





**This new Tandy
Electronics
Computer
Manufacturing
Facility can produce
5,000 units a day.**

Many of our manufacturing facilities produce components for Tandy computer products. The following plants specialize in computer production:

- Business Computer Division—manufactures Tandy high-performance business computers;
- Tandy Instruments—assembles electronic components on printed circuit boards;
- Personal Computer Division—manufactures Tandy computers for the home, home office and small business markets;
- Software Assembly Division—produces computer software diskettes and game cartridges;

The Tandy Electronics Manufacturing Technology Center serves as a focal point for Tandy's manufacturing operations. Located in Fort Worth, Texas, the Center performs quality/reliability evaluations and factory automation studies for all Tandy computers and peripheral products.

These combined efforts underline our reputation for stringent quality control, our pride in our products and our commitment to the future.

MEMTEK PRODUCTS

"Is it live, or is it Memorex?" The success and immediate recognition of that famous catch phrase, used in numerous advertisements, is indicative of the success of the Memorex brand. In 1989, one in every four normal-bias cassettes purchased in the U.S. bore the Memorex label. The Memorex® video cassette is one of the three bestselling blank video cassettes in the nation.

Memtek Products, a marketing company of Tandy Corporation, markets a comprehensive line of audio and video consumer products under the Memorex label for sale—directly or through distributors—to mass merchandisers and to record, stereo, department, food, drug, catalog, TV/appliance and video specialty stores. To service this enormous customer base, Memtek maintains its own nationwide sales forces as well as distribution centers in Fort Worth, Texas; Santa Clara, California; and Arlington Heights, Illinois.

The bulk of Memtek products, including its immensely popular audio and video tape lines, are made at Tandy manufacturing facilities in the U.S. and the Orient. Research and design teams of Tandy or other companies design the actual "hardware" of the product to Memtek specifications. Memtek's in-house design staff then devises the product's cosmetic appearance and packaging to give it a unique Memorex "look." Products manufactured for Memtek overseas are sourced and imported by Tandy-owned A&A International.

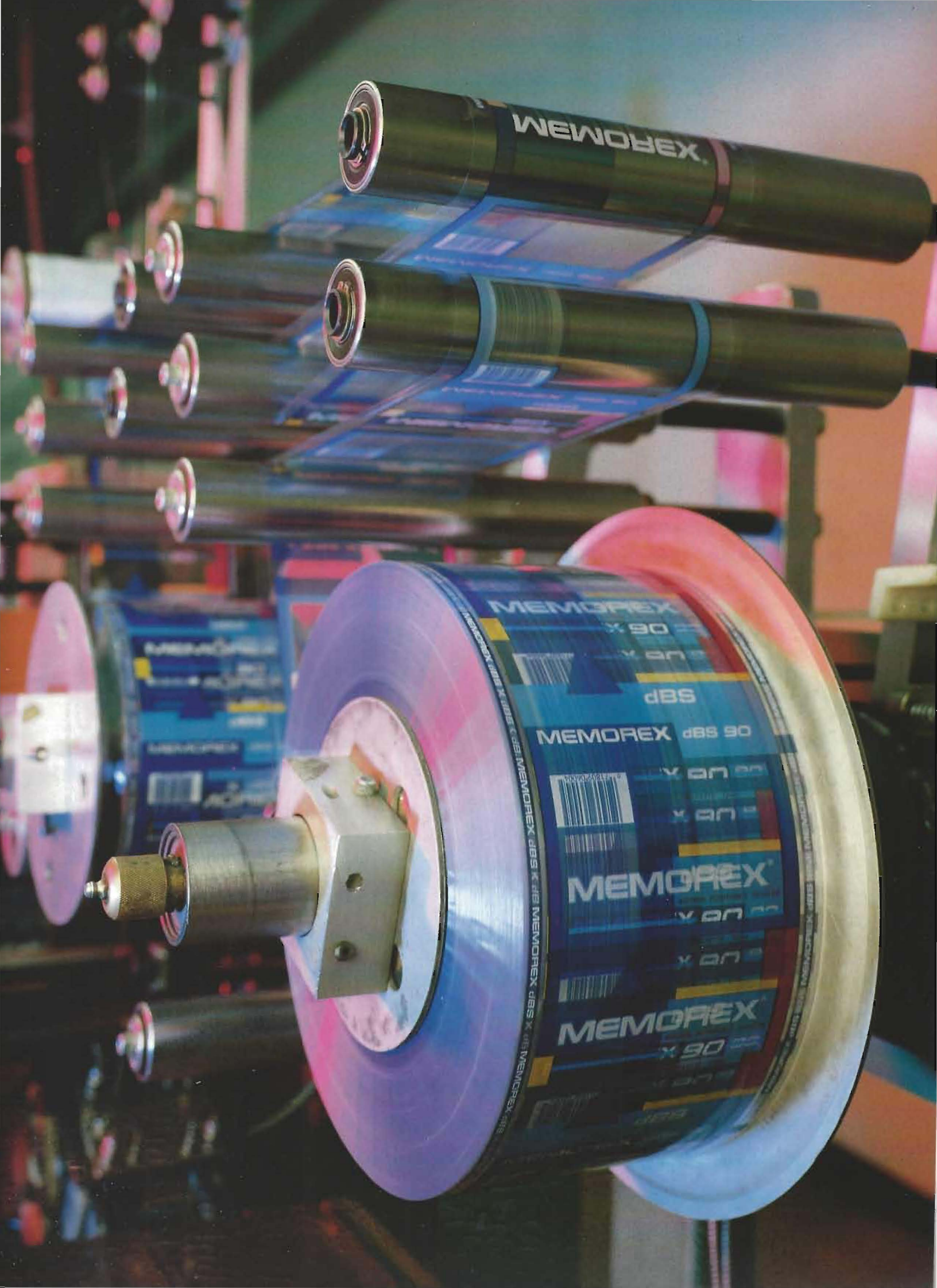
Memorex's entire product line once consisted of three lines of audio cassettes and one line of 8-track tapes. Since it was acquired by Tandy in 1982, the company has expanded its line to include five kinds of audio tape and six kinds of video tape, as well as a wide line of audio and video consumer products that includes headphones, personal stereo speakers, universal remote control devices and AT&T compatible telephone accessories. More than 120 accessory items representing seven different product categories are sold under the Memorex label.

Innovative packaging and extraordinary product quality combine for a winning formula that spells sure success for Memtek and Tandy Corporation in the years ahead.

Memtek's distribution efforts have so infused the audio/video markets that Memorex products can now be purchased in more than 39,000 U.S. outlets.



Memtek Products markets a comprehensive line of audio and video consumer products under the well-known Memorex label.



LIKA CORPORATION

For any microcomputer manufacturer, having a reliable source of high-quality printed circuit boards is essential. At Tandy Corporation, that crucial need is filled by one of the top ten producers of printed circuit boards in the United States—our own Lika Corporation.

Lika® manufactures double-sided and multi-layered printed circuit boards not only for Tandy, but for major customers in the computer, telecommunications, automotive and instrumentation markets as well. As a result, Lika circuit boards are used in a wide variety of innovative electronic products worldwide, including laser printers, modems, sonar equipment and facsimile and PBX systems. Lika circuit boards are even utilized in medical instruments, including a blood sugar analyzer which enables diabetics to determine their glucose levels.

Lika's Stockton,

California, plant

produces over 1.5 million

square feet of printed

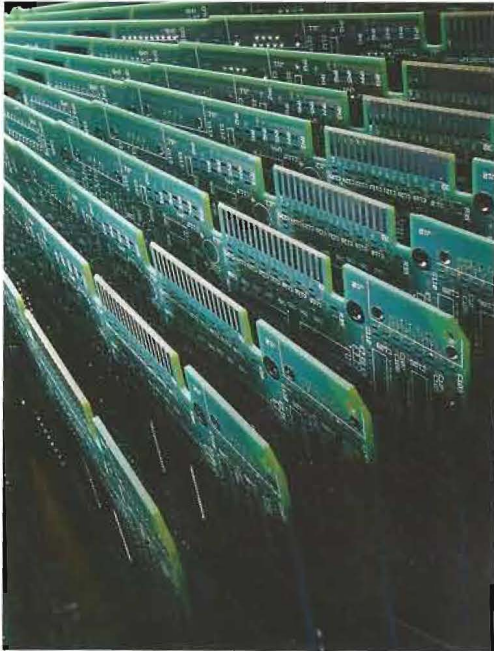
circuit boards annually,

containing enough

circuitry to reach from

Earth to the moon.





Constant improvements keep Lika Corporation at the cutting edge of printed circuit design.

To meet the demands of an increasingly quality-conscious market, Lika implemented a unique statistical process and quality control plan at its two manufacturing facilities in Stockton, California, and Salt Lake City, Utah. This plan allows for the identification and correction of potential problems through processes, materials and equipment.

The evolution of printed circuit board design makes it necessary for Lika to continually expand and improve its manufacturing capabilities.

Recent improvement efforts which strengthened Lika's position as a world-class supplier include the addition of:

- an epoxy-based liquid mask process pioneered by Lika's engineering department;
- automation of internal layer manufacturing for multi-layer product;
- high voltage bare board testing;
- upgraded hot air leveling equipment;
- vacuum lamination;
- automated optical inspection equipment.

Growing demand for Lika products launched the establishment of the Salt Lake City manufacturing facility in 1988. This state-of-the-art installation added over 80,000 square feet of manufacturing space to some 72,000 square feet already utilized at the Stockton facility. Initial output at the Utah plant was impressive: over 750,000 square feet of printed circuit board annually.

New developments in printed circuit board design will continue to unfold, bringing with them the need for improved materials and processes. As more and more sophisticated manufacturing technology is required to meet those new demands, Lika stands poised to meet the challenge with room to grow.

O'SULLIVAN INDUSTRIES

*O'Sullivan is the world's
largest producer of
ready-to-assemble
furniture.*

Since its founding in 1954, O'Sullivan's leadership position has grown through investment in skilled personnel and the most sophisticated equipment and production facilities available. Tandy recognized that capacity for growth when it acquired the company in 1984. Now, over 20,000 outlets sell O'Sullivan stereo cabinets, desks or other furniture products, including approximately 7,000 Radio Shack stores and Computer Centers.

An emphasis on increasing capacity and market share, as well as further development of the successful O'Sullivan product line, have produced dramatic sales results. O'Sullivan's Lamar, Missouri, facility, which encompasses over 20 acres of warehouse and production space, sold a record 3½ million units in fiscal year 1989.

O'Sullivan's newest facility, a 330,000-square-foot plant, opened in South Boston, Virginia, in early 1989. That installation initially increased the company's production capacity by 25 percent. New market opportunities are abundant because of this facility's close proximity to raw materials and a huge East Coast customer base. In addition, the factory has facilities to produce high-capacity stereo speakers and other products for the Japanese market, a relatively new business venture for the company.

One area in which O'Sullivan® holds an undisputed leadership position is ready-to-assemble (RTA) furniture. This market promises continued growth because of the important benefits RTA furniture offers to consumers and retailers. For retailers, RTA furniture imparts good profit

**O'Sullivan Industries
designs and
produces versatile,
functional cabinets,
desks and other
furniture that
complement our
lines of electronic
products.**





**Advanced automated
production
techniques allow
O'Sullivan workers
to devote more
effort to quality
control, ensuring a
superior product.**

margins and ties up less storage space than its factory-assembled counterparts. For consumers, RTA offers a high-quality, low-cost alternative to pre-assembled furniture.

Throughout O'Sullivan's production process, actual millwork and finishing processes are automated. This complete automation allows workers to concentrate their efforts on ensuring that the finished product is top-quality. The end result of this policy is impressive. O'Sullivan's \$60 products have the same high level of quality as the company's \$600 items.

The combination of outstanding personnel, top-notch production facilities and a superb product line mean sure growth for O'Sullivan and Tandy Corporation for many years to come.

R&D: A HIGH PRIORITY

We depend on ongoing research and development to maintain our company's dynamic growth. Tandy R&D teams in seven locations in the U. S. and overseas work to identify emerging technologies that will keep our product lines state-of-the-art.

One of our most exciting product achievements is Tandy THOR-CD™. Observing the phenomenal popularity of compact discs as a high quality digital audio storage medium, engineers and scientists at Tandy Magnetic Media in San Jose, California, turned their efforts to adding user erase/record capabilities that would be compatible with current CD technology. Their amazing breakthrough—THOR-CD—astonished the consumer electronics industry when it was announced on April 21, 1988.

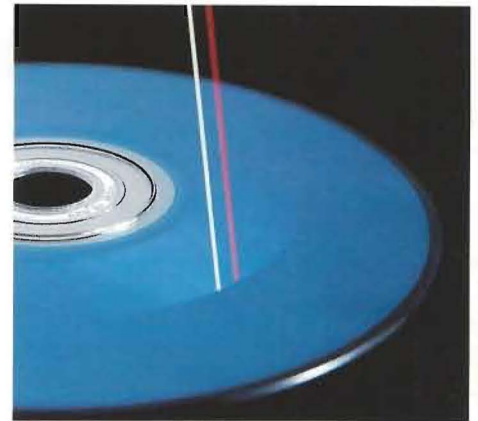
In conjunction with THOR-CD technology, the Tandy Electronics Design group in Fort Worth began developing a consumer-oriented compact disc recorder that is compatible, affordable and high quality. To establish THOR-CD as an industry standard, Tandy has invited world technology leaders to develop THOR-CD-based products.

Constant development and enhancement of the DeskMate Graphical User Interface and DeskMate software applications help to establish DeskMate as a PC-compatible software standard. Recent accomplishments include an on-line help/tutorial system that virtually eliminates the need for bulky software instruction manuals. The DeskMate Interface has also been implemented in applications designed for schools and computer networks.

Our R&D teams have also designed Application Specific Integrated Circuits (ASICs). ASIC chips have greatly extended capabilities, reducing the number of chips required for a component. ASIC chips also allow the implementation of features such as the revolutionary sound and speech functions in Tandy 1000-series personal computers.

With an eye to the future growth of our R&D efforts, we are building a new, seven-story Tandy Technology Center in downtown Fort Worth. Both Tandy Computer Research and Development and Tandy Electronics Design will occupy specially designed technical and laboratory space within this progressive facility.

*Tandy THOR-CD is the
only read/write/erase
technology in the world
that is compatible with
most existing audio
CD players.*



The Tandy Technology Center, slated for completion in 1990, reflects our commitment to the future. It will house 215,000 square feet of laboratory and office space.



TANDY INFORMATION SERVICES

With numerous divisions and subsidiaries of Tandy Corporation reporting a wide variety of information on a daily basis, the magnitude of data to be processed is enormous. Tandy Information Services handles this task with efficiency and ease. TIS is responsible for developing and implementing a broad range of information processing systems unique to Tandy Corporation.

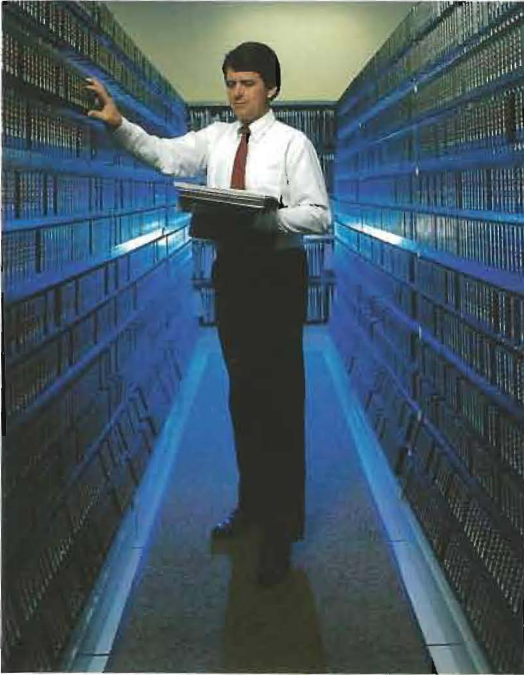
Information gathering and reporting systems designed and monitored by TIS staff impact almost every facet of Tandy's operations. For example, TIS helps to ensure that Tandy Manufacturing facilities will have proper components and raw materials to manufacture products, and that the finished products reach their destinations on time. Daily sales and inventory information from our retail stores is compiled into reports. And mailing lists, which are vital to our promotional strategies, are updated for Radio Shack's Advertising Department.

At the heart of Tandy Corporation is a highly centralized information management system that maintains daily communications with every store, plant, warehouse and department.



The capabilities of Tandy Information Services' mainframe computer alone are astounding:

- it executes about 91,000 jobs per month—almost 125 jobs every hour;
- it processes 30 million instructions per second;
- it produces 12,720 miles of printed reports annually, enough paper to go almost halfway around the world;



Tandy Information Services processes a huge amount of vital data using the latest information management techniques.

One of TIS's most notable accomplishments is keeping Radio Shack's customer mailing list current and accurate. Each month, over 8 million sales tickets are processed and used to update a mainframe database of 30-35 million names and addresses. That updated mailing list is used for monthly advertising flyer mailings, which reach millions of consumers.

The Information Systems' financial group:

- processes 6.5 million journal entries per month;
- prints 55,000 profit and loss statements (including consolidations and multiple copies) monthly;
- is responsible for virtually all the corporation's payroll;
- tracks payment and other information for over 1 million customers with Radio Shack ValuePlus credit cards and McDuff Purchase Power Program accounts.

In addition, TIS produces monthly accounting statements by the 10th day of the next month, record time for a company of Tandy's size.

Another shining example of TIS achievement is our Point-of-Sale system, which was installed in approximately 5,000 company-owned Radio Shack stores in 1989. TIS personnel designed and now monitor this state-of-the-art system.

The increasing operations and space requirements of Tandy Information Services are spurring its expansion into specially designed facilities in our Tandy Technology Center in Fort Worth. The growth of this vital department exemplifies Tandy's advancement as a technology company.

A&A INTERNATIONAL

In today's global economy, locating and importing quality parts and innovative products from overseas is an important task for any electronics company. At Tandy Corporation, that function is performed by A&A International, a wholly-owned subsidiary which services the international trade needs of Radio Shack, Tandy Electronics Manufacturing, Memtek Products, GRiD Systems and the Tandy Name Brand Group.

Operations performed by A&A International include:

- locating overseas sources to manufacture parts and products for Tandy and its subsidiaries;
- assisting in product and parts evaluation;
- expediting the manufacture and delivery of parts and products;
- quality control;
- shipment of imported or exported products, followed by Customs clearance.

A&A began exporting Japanese merchandise for Radio Shack in 1955, in the early years of Japanese electronics exportation. Quality control of Radio Shack imported products was (and still is) A&A's primary concern.

In fact, quality control is so essential to A&A's operations that approximately one-fourth of the company's work force is devoted to some type of quality assurance activity. Quality control programs in A&A's original Tokyo facility included evaluation engineering and factory inspection of final products prior to shipment to the U.S.

*Tandy's long time
international sourcing
strength not only finds
the products and
materials but ensures
their quality.*

**A&A engineers
perform vital testing
before products
are shipped.**





Radio Shack
products ready
to begin their
long journey
overseas to Radio
Shack stores
throughout the
United States.

Later, quality control operations were also placed in source offices in Taipei, Seoul, Hong Kong and Singapore, as well as in ten receiving warehouses.

In addition to quality assurance, A&A staff oversee all sampling and correspondence relating to new products. An automatic telex distribution system carries thousands of telex communications between the offices of A&A and Tandy and its subsidiaries each day. A&A personnel also assist our Merchandising and Research and Development groups by keeping their eyes and ears "open" for innovative new products, saving time and costs in the development process.

With quality as its primary concern, A&A International will continue to play a key role in providing the reliable products our customers demand.

A PROMISING FUTURE

We are proud of our past at Tandy Corporation. We are proud of our long-standing tradition of providing quality and value to our broad customer base. We realize where our strengths lie and we have nurtured them to become a pre-eminent force in the consumer electronics and computer industries. Our capabilities in these industries span a wide breadth of technologies from the latest manufacturing techniques and automated warehousing systems to electronic publishing in our advertising functions. Behind our broad base of Tandy technology are Tandy employees, one of our greatest assets. Our people believe in our company as evidenced by their high participation in our employee stock purchase and other programs.

Just as we have experienced phenomenal growth in the past, we have great expectations for phenomenal growth in the future. With our strong financial base, we have the flexibility necessary to shape our expansion strategies to answer changing market trends. We have the people, the technology and the business acumen. We are, and will strive to always be, an industry leader.

